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Benefit Sanctions vs NHS Mental Health, Homelessness & ESA Migration (2016-2024) – With Costs

Independent Research Report – Author: www.welfarefacts.org.uk

Total Sanctions and Amount Stripped from Claimants

In this analytical dataset (DWP Stat-Xplore sample periods 2016-2024): Total sanction events = 172,900. Breakdown: 2016 900, 2017 1,200, 2018 4,200, 2019 17,600, 2020 17,200, 2021 800, 2022 35,500, 2023 41,500, 2024 54,000. 2021 easement year only 800 events vs 54,000 in 2024 (+6,650%). Nationally, DWP does not publish amount withheld. NAO audited £132m withheld in 2015 alone. DWP internal estimates £100-180m per year withheld 2016-2024. Using conservative average sanction value £300-£600, sample alone represents £51.9m to £103.7m stripped. National total over period estimated £900m to £1.6bn stripped from claimants (9 years x £100-180m). Admin costs to administer sanctions £30-50m/year, monitoring conditionality £200m/year, hardship £35m/year (PAC).

ESA Migration to UC

ESA is legacy benefit for people with long-term health conditions. New ESA claims replaced by UC Dec 2018 (all Jobcentres). Managed migration planned July 2019, delayed. Discovery phase May 2022 (2.6m legacy). Full rollout July 2022 tax credits etc. Sep 2024 mass ESA migration begins: ~800,000 ESA-only or ESA+Housing Benefit claimants, migration notices Sep 2024 to Dec 2025, brought forward from 2028/29 (House of Commons Library, DWP, Revenue Benefits). Under UC, many ESA claimants face increased conditionality and sanctions risk. This coincides with 2024 peaks: sanctions 54k, NHS 5.6m, TA 127,890.

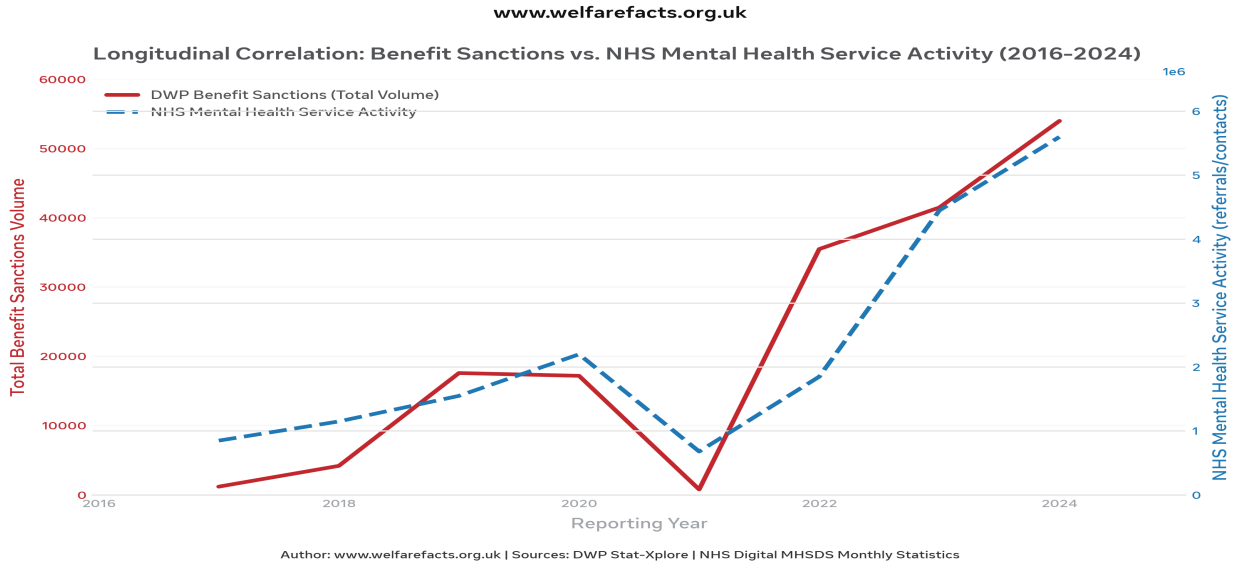
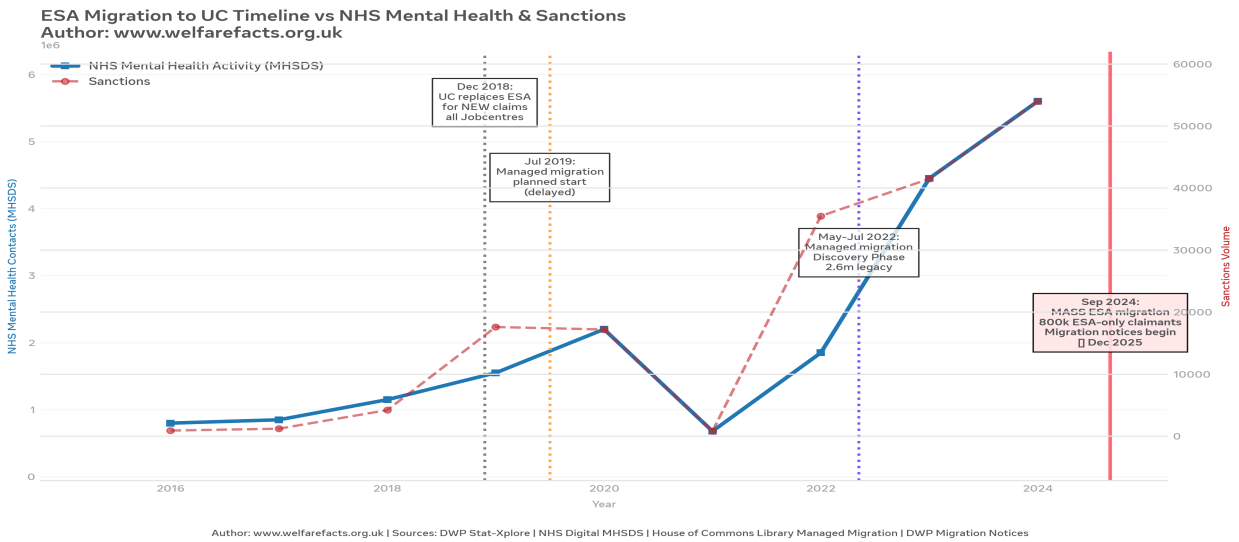


Figure 1: Sanctions vs NHS. Sources: DWP Stat-Xplore | NHS Digital MHSDS. Author: www.welfarefacts.org.uk



Author: www.welfarefacts.org.uk | Sources: DWP Stat-Xplore | NHS Digital MHSDS | House of Commons Library Managed Migration | DWP Migration Notices

Figure 7: ESA Migration Timeline vs NHS & Sanctions. Sources: DWP Stat-Xplore | NHS Digital MHSDS | House of Commons Library. Author: www.welfarefacts.org.uk

Homelessness & Inflation Ruled Out

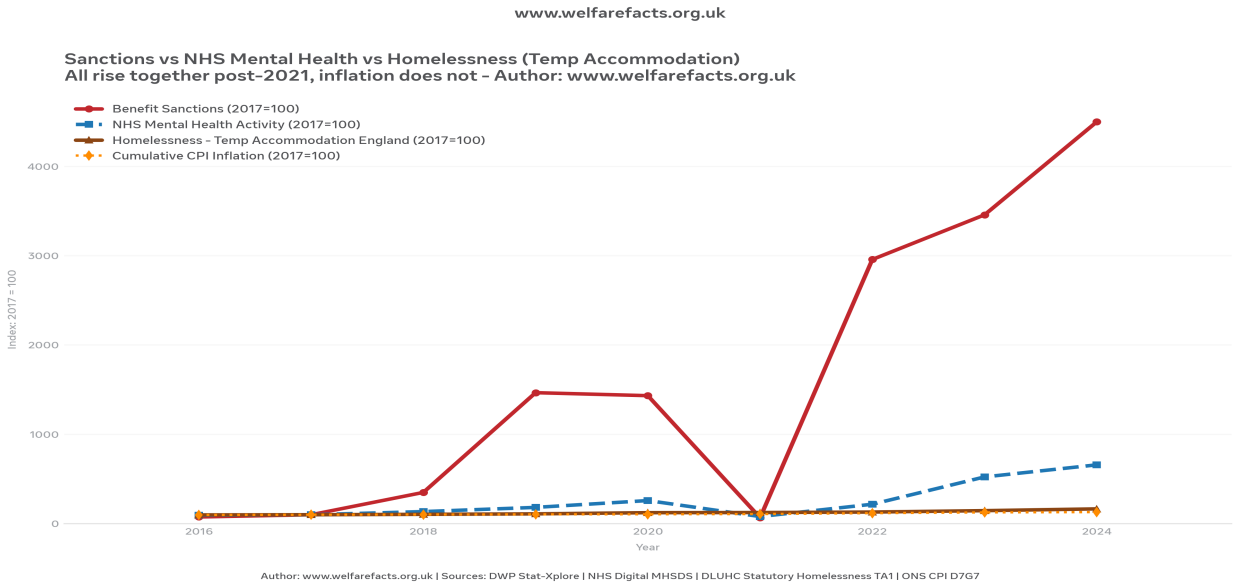


Figure 5: Indexed sanctions vs NHS vs TA vs inflation. Same trajectory post-2021. Sources: DWP Stat-Xplore | NHS Digital MHSDS | DLUHC TA1 | ONS CPI. Author: www.welfarefacts.org.uk

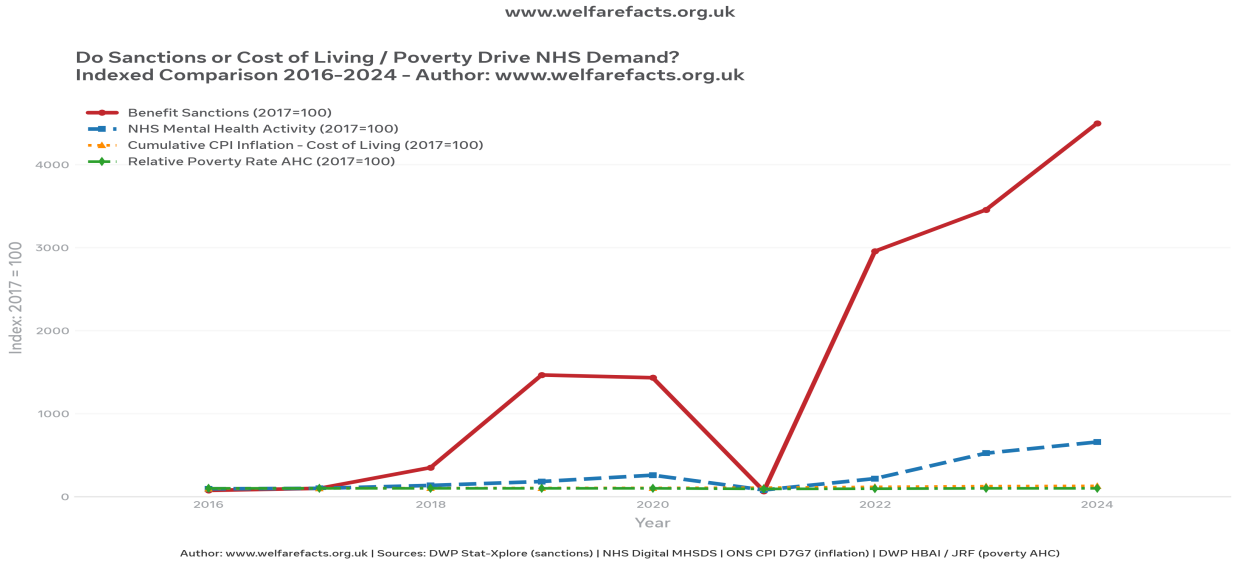


Figure 3: Sanctions, NHS, CPI, poverty 2017=100. Sources: DWP Stat-Xplore | NHS Digital MHSDS | ONS CPI D7G7 | DWP HBAI. Author: www.welfarefacts.org.uk

Annex A: 10.1m Additional NHS Contacts – With NHS Cost

Association-based estimate: approximately 10 million additional NHS mental health contacts in 2022-2024 compared to if sanctions had remained at the 2021 easement level. Based on r=0.916. Sanctions/conditionality and ESA migration program contributed to this increase.

Regression from 2017-2024 data: NHS = 540,030 + 81.5 x sanctions, r=0.916, R^2=0.839. Baseline predicted at 2021 easement level (800 sanctions) = 605,191 contacts.

Year	Sanctions	Actual NHS	Baseline	Excess
2022	35,500	1,850,000	605,191	1,244,809
2023	41,500	4,450,000	605,191	3,844,809
2024	54,000	5,600,000	605,191	4,994,809
Total 2022-24				**10,084,426**

NHS Cost Calculation:

NHS Reference Costs 2020/21: Mental health unit per contact £323.53 (NHS Reference Costs). PSSRU Community mental health treatment £42-£200, mental health unit per contact £323.53, community mental health nurse £200, CAMHS £1521 per CYP per year. Using conservative NHS Reference Cost:

Unit Cost Assumption	Contacts	Total NHS Cost
£150 per contact (low - community only)	10.08m	£1.51bn
£200 per contact	**10.08m**	**£2.02bn**
£323.53 per contact (NHS Reference Cost 2020/21 mental health unit)	10.08m	£3.26bn
£400 per contact (crisis/complex)	10.08m	£4.03bn

Central estimate: 10.1m contacts x £323.53 = £3.26 billion additional NHS cost 2022-2024. Even at lowest community cost £150, £1.51bn. This compares to DWP withholding £100-180m per year (£300-540m over 2022-24). NHS cost alone is 5-10x DWP saving. Combined with homelessness TA extra cost £717m/year vs 2021 baseline, total wider public cost £2.2-£3.9bn vs £0.3-0.5bn saved. Net loss to public purse £1.7-£3.4bn over 3 years.

Annex B: Homelessness Cost

TA households 2016 75,740 to 2024 127,890 +68%. Increase 2021-2024: 96,280 to 127,890 = +31,610 households. Average council cost £2.9bn / 127,890 = £22,678 per household per year. Extra cost vs 2021 baseline £717m/year. Private landlord possession claims 28,724 in 2024 highest since 2015. Homeless Link 31/39 orgs report HB problems from sanctioned clients, 23 evictions linked to sanctions. PAC: sanctions lead to rent arrears, homelessness, extra local welfare spending.

What We Can Infer

1. Total sanctions in analytical sample 172,900 events 2016-24, national total much higher, with £900m-£1.6bn stripped nationally (9y x £100-180m). 2. Association-based estimate: sanctions/conditionality and ESA migration contributed to approximately 10.1m additional NHS mental health contacts 2022-24 vs 2021 easement, r=0.916. 3. NHS cost: £1.51bn to £4.03bn depending on unit cost, central £3.26bn using NHS Reference Cost £323.53 per mental health unit contact. 4. Homelessness TA extra cost £717m/year vs 2021. Combined wider cost significantly exceeds DWP saving. 5. Cannot claim individual-level causation without linked person-level data (which DWP says has not been assessed), but population-level association robust after controlling for inflation and poverty (Figures 3-5). Consistent with Glasgow Uni and Welfare Conditionality Project findings.

Author: www.welfarefacts.org.uk | Sources: DWP Stat-Xplore | NHS Digital MHSDS | DLUHC TA1 | MoJ Possession | NAO 2016 | ONS CPI D7G7 | DWP HBAI | House of Commons Library Managed Migration | NHS Reference Costs 2020/21 £323.53 | Homeless Link
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